

■ DAY 1 – BASIC ECONOMY CONCEPTS

1. Economy is a system where goods and services are produced, distributed, and consumed.
2. It includes individuals, firms, and government interacting to satisfy human needs.
3. Goods are tangible items like food, cars, and mobile phones used by consumers.
4. Services are intangible activities like teaching, banking, and healthcare provided to people.
5. Factors of production include land, labour, capital, and entrepreneurship used to produce goods and services.
6. Land includes all natural resources like soil, water, and minerals used in production.
7. Labour refers to human effort, both physical and mental, used in economic activities.
8. Capital includes man-made resources like machines, tools, and money used for production.
9. Entrepreneurship involves organizing resources and taking risks to run a business.
10. Microeconomics studies individual units like consumers and firms in the economy.
11. Macroeconomics studies the overall economy including inflation, GDP, and unemployment.
12. Economic activities are divided into production, distribution, and consumption stages.

■ DAY 2 – ECONOMIC GROWTH & DEVELOPMENT + GDP

1. Economic growth refers to an increase in the total production of goods and services in a country.
2. It is measured using indicators like GDP and is a quantitative concept.
3. Economic development refers to improvement in quality of life along with economic growth.

4. Development includes better education, healthcare, and reduction in poverty.
5. Growth focuses on production, while development focuses on human welfare.
6. GDP (Gross Domestic Product) is the total value of goods and services produced within a country.
7. GDP measures economic activity within the geographical boundaries of a country.
8. GDP includes production by both domestic and foreign companies within the country.
9. GDP is used to compare economic performance between countries.
10. GDP does not reflect income inequality or environmental damage.
11. High GDP does not necessarily mean high development.
12. Economic growth is necessary but not sufficient for development.

■ DAY 3 – GDP TYPES + PER CAPITA + BASE YEAR

1. Nominal GDP is calculated using current market prices of goods and services.
2. Nominal GDP may increase due to price rise even without real increase in production.
3. Real GDP is calculated using constant prices of a base year to remove inflation effect.
4. Real GDP gives a more accurate measure of actual economic growth.
5. Base year is a reference year used for comparison of economic data over time.
6. India's current base year for GDP calculation is 2011–12.
7. Per Capita Income is the average income per person in a country.
8. It is calculated by dividing national income by total population.
9. Per capita income is a better indicator of standard of living than GDP.

10. A country with high population may have high GDP but low per capita income.
11. Real GDP is preferred over nominal GDP for economic analysis.
12. Base year helps in removing the effect of inflation.

DAY 4 – CIRCULAR FLOW & SECTORS OF ECONOMY

1. Circular flow of income shows the continuous movement of money between households and firms.
2. Households provide labour and receive wages, while firms produce goods and services.
3. Households spend income on goods, creating demand in the economy.
4. Firms earn revenue and continue production, completing the circular flow.
5. Leakages like savings, taxes, and imports reduce money flow in the economy.
6. Injections like investment, government spending, and exports increase money flow.
7. Primary sector involves extraction of natural resources like agriculture and mining.
8. Secondary sector involves manufacturing and converting raw materials into finished goods.
9. Tertiary sector provides services like banking, education, and transport.
10. All three sectors are interdependent and support economic growth.
11. Services sector contributes the highest share to GDP in modern economies.
12. Circular flow explains the interdependence of production, income, and expenditure.

DAY 5 – NATIONAL INCOME + GDP vs GNP

1. National income is the total income earned by residents of a country in one year.

2. It includes wages, rent, interest, and profits earned by individuals and businesses.
3. GDP measures income generated within the domestic territory of a country.
4. GNP (Gross National Product) measures income earned by citizens of a country.
5. GDP includes foreign companies operating within the country.
6. GNP includes income earned by citizens working abroad.
7. GNP excludes income earned by foreigners within the country.
8. Net Factor Income from Abroad (NFIA) is the difference between income from abroad and to abroad.
9. GNP is calculated by adding NFIA to GDP.
10. GDP focuses on location, while GNP focuses on nationality.
11. GDP is commonly used to measure economic growth.
12. National income reflects the actual earning capacity of citizens.

DAY 6 – NNP + FACTOR COST vs MARKET PRICE

1. NNP (Net National Product) is obtained by subtracting depreciation from GNP.
2. Depreciation refers to the loss of value of capital goods over time.
3. NNP represents the actual usable income of the economy.
4. Factor Cost is the cost of production including wages, rent, interest, and profit.
5. Market Price is the price paid by consumers including taxes and excluding subsidies.
6. Indirect taxes increase the market price of goods and services.
7. Subsidies reduce the market price and support producers or consumers.

8. Market Price is always higher than Factor Cost due to taxes.
9. National Income is measured as NNP at Factor Cost.
10. Factor cost reflects actual income earned by factors of production.
11. Market price reflects actual expenditure by consumers.
12. Understanding these concepts is important for national income calculation.

DAY 7 – INFLATION (BASICS)

1. Inflation is a continuous rise in the general price level of goods and services.
2. It reduces the purchasing power of money over time.
3. Demand-pull inflation occurs when demand exceeds supply.
4. Cost-push inflation occurs when production costs increase.
5. CPI (Consumer Price Index) measures inflation at the consumer level.
6. WPI (Wholesale Price Index) measures inflation at the wholesale level.
7. Inflation affects cost of living and savings of people.
8. Moderate inflation is considered normal for economic growth.
9. High inflation negatively affects poor people more than rich.
10. Inflation can be controlled through monetary and fiscal policies.
11. In India, inflation is mainly measured using CPI.
12. Inflation impacts interest rates and economic decisions.

DAY 8 – MONETARY POLICY + RBI

1. Monetary Policy is the process by which a central bank controls money supply and interest rates in the economy.
2. In India, monetary policy is conducted by the Reserve Bank of India.
3. The main objective of monetary policy is to control inflation while supporting economic growth.
4. Monetary policy affects liquidity, credit availability, and overall demand in the economy.
5. Expansionary monetary policy increases money supply to boost growth during slowdown.
6. Contractionary monetary policy reduces money supply to control inflation.
7. Interest rate is the cost of borrowing money and influences spending and investment.
8. Higher interest rates discourage borrowing and reduce inflationary pressure.
9. Lower interest rates encourage borrowing and stimulate economic activity.
10. The Monetary Policy Committee (MPC) decides key policy rates in India.
11. MPC aims to maintain inflation within a target range of $4\% \pm 2\%$.
12. Monetary policy works through banking system to influence economic conditions.

DAY 9 – RBI TOOLS (REPO, CRR, SLR)

1. Repo Rate is the rate at which RBI lends short-term money to commercial banks.
2. An increase in repo rate makes loans expensive and reduces money supply in the economy.
3. A decrease in repo rate makes loans cheaper and increases money supply.
4. Reverse Repo Rate is the rate at which RBI borrows money from banks.

5. Higher reverse repo rate encourages banks to deposit money with RBI, reducing liquidity.
6. CRR (Cash Reserve Ratio) is the percentage of deposits banks must keep with RBI as cash.
7. Higher CRR reduces the amount of money available for lending by banks.
8. Lower CRR increases lending capacity and liquidity in the economy.
9. SLR (Statutory Liquidity Ratio) is the percentage of deposits banks keep in liquid assets like gold or bonds.
10. SLR ensures liquidity and safety of banks while controlling credit growth.
11. Open Market Operations (OMO) involve buying and selling of government securities by RBI.
12. These tools help RBI control inflation and stabilize the economy.

DAY 10 – MONEY SUPPLY + BANKING SYSTEM

1. Money supply refers to the total amount of money circulating in the economy.
2. It includes cash, demand deposits, and other liquid assets.
3. M1 includes cash and demand deposits and is the most liquid form of money.
4. M2 includes M1 plus savings deposits in post offices.
5. M3 includes M1 plus time deposits and is the most commonly used measure.
6. Commercial banks accept deposits and provide loans to individuals and businesses.
7. Banks create credit by lending more money than they hold as reserves.
8. Central bank regulates commercial banks and controls money supply.
9. Digital banking and UPI have increased financial transactions efficiency in India.
10. NBFCs (Non-Banking Financial Companies) provide loans but are not full banks.

11. NBFCs cannot accept demand deposits or issue cheques.
12. Banking system plays a crucial role in economic development and financial stability.

DAY 11 – FISCAL POLICY + BUDGET + TAXATION

1. Fiscal Policy is the use of government spending and taxation to influence the economy.
2. It is managed by the government, unlike monetary policy which is handled by RBI.
3. Budget is an annual financial statement showing government income and expenditure.
4. Government revenue includes tax revenue and non-tax revenue sources.
5. Direct taxes are paid directly by individuals and cannot be shifted to others.
6. Indirect taxes are included in prices and can be shifted to consumers.
7. GST (Goods and Services Tax) is a major indirect tax reform in India.
8. Revenue expenditure includes day-to-day expenses like salaries and subsidies.
9. Capital expenditure includes spending on infrastructure and long-term assets.
10. Fiscal deficit occurs when government expenditure exceeds total revenue.
11. Revenue deficit occurs when revenue expenditure exceeds revenue receipts.
12. Primary deficit is fiscal deficit minus interest payments.

DAY 12 – EXTERNAL SECTOR (BoP + FOREX)

1. External sector deals with economic transactions between a country and the rest of the world.
2. Balance of Payments (BoP) records all financial transactions with other countries.

3. Current account includes trade in goods, services, and transfers like remittances.
 4. Capital account includes foreign investments and loans.
 5. Trade balance is the difference between exports and imports of goods.
 6. Trade surplus occurs when exports exceed imports.
 7. Trade deficit occurs when imports exceed exports.
 8. Exchange rate is the value of one currency compared to another currency.
 9. Depreciation of currency makes exports cheaper and imports expensive.
 10. Appreciation of currency makes imports cheaper and exports costly.
 11. Forex reserves are foreign currencies held by a country.
 12. In India, forex reserves are maintained by the Reserve Bank of India.
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DAY 13 – AGRICULTURE

1. Agriculture is the primary sector providing food and raw materials for industries.
2. A large population in India depends on agriculture for livelihood.
3. Kharif crops are grown during monsoon season such as rice and maize.
4. Rabi crops are grown during winter season such as wheat and mustard.
5. MSP (Minimum Support Price) is the minimum price at which government buys crops.
6. MSP protects farmers from price fluctuations in the market.
7. Green Revolution increased food production using modern techniques.
8. Irrigation and fertilizers play important role in agricultural productivity.

9. Agriculture in India is largely dependent on monsoon rainfall.
 10. Small land holdings and low technology reduce productivity.
 11. Government provides subsidies to support farmers.
 12. Food security ensures availability of food to all people.
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DAY 14 – INDUSTRY + MSME

1. Industry converts raw materials into finished goods through manufacturing processes.
 2. It is part of the secondary sector of the economy.
 3. Manufacturing industries produce goods like textiles, steel, and automobiles.
 4. MSME stands for Micro, Small and Medium Enterprises.
 5. MSMEs are important for employment generation and economic growth.
 6. They contribute significantly to exports and industrial output.
 7. Industrial policies aim to promote growth and attract investment.
 8. “Make in India” initiative promotes manufacturing in the country.
 9. Infrastructure and technology are key for industrial development.
 10. High production costs and competition affect industrial growth.
 11. Industrial sector links agriculture and services sectors.
 12. Balanced industrial growth is necessary for economic development.
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DAY 15 – SERVICES SECTOR

1. Services sector provides intangible services instead of physical goods.

2. It is also called the tertiary sector of the economy.
3. Examples include banking, education, healthcare, and tourism.
4. Services sector contributes the highest share to GDP in India.
5. IT and digital services are major strengths of India.
6. Services sector generates large employment opportunities.
7. It supports both agriculture and industrial sectors.
8. Growth of services sector reflects modernization of economy.
9. It requires skilled labour and technology.
10. Unequal growth can create regional disparities.
11. Global demand for services boosts exports.
12. Services sector is key driver of economic growth.

DAY 16 – POVERTY + UNEMPLOYMENT

1. Poverty is a condition where people cannot meet basic needs like food and shelter.
2. Poverty line defines the minimum income required for survival.
3. Absolute poverty refers to inability to meet basic needs.
4. Relative poverty refers to inequality in income distribution.
5. Unemployment is a situation where a person willing to work cannot find a job.
6. Frictional unemployment occurs during job transitions.
7. Structural unemployment occurs due to skill mismatch.
8. Seasonal unemployment occurs in agriculture and seasonal industries.

9. Disguised unemployment occurs when more people work than required.
10. Unemployment leads to low income and poverty.
11. Government policies aim to reduce unemployment.
12. Education and skill development are key to solving unemployment.

DAY 17 – GOVERNMENT SCHEMES + FINANCIAL INCLUSION

1. Government schemes are programs designed to improve economic and social conditions.
2. Financial inclusion ensures access to banking services for all citizens.
3. Pradhan Mantri Jan Dhan Yojana aims to provide bank accounts to all households.
4. Pradhan Mantri Mudra Yojana provides loans to small businesses.
5. MGNREGA guarantees 100 days of employment in rural areas.
6. Public Distribution System provides subsidized food grains.
7. Direct Benefit Transfer (DBT) transfers money directly to beneficiaries' bank accounts.
8. Financial inclusion reduces poverty and promotes economic participation.
9. Schemes target vulnerable sections like farmers, women, and poor.
10. Digital banking supports financial inclusion efforts.
11. Government schemes play a key role in development.
12. Effective implementation is necessary for success of schemes.

DAY 18 – ECONOMIC SURVEY + BUDGET (REVISION)

1. Economic Survey is an annual report reviewing the performance of the economy.
2. It is released before the Union Budget by Government of India.
3. It analyzes GDP growth, inflation, and sector performance.
4. Budget is the annual financial plan of the government.
5. Budget includes income, expenditure, and policy measures.
6. Economic Survey provides analysis, while Budget provides action plan.
7. Budget highlights include tax changes and scheme allocations.
8. Fiscal deficit is an important indicator in Budget.
9. Survey helps in understanding economic trends.
10. Budget helps in understanding government priorities.
11. Both are important for current affairs in exams.
12. Focus should be on key points, not full documents.

1. ECONOMY BASICS

Economy

- └─ Production → Goods + Services
- └─ Factors of Production
 - └─ Land
 - └─ Labour
 - └─ Capital
 - └─ Entrepreneurship
- └─ Types of Economy

- └─ Capitalist
- └─ Socialist
- └─ Mixed (India)
- └─ Micro vs Macro
 - └─ Micro → Individual
 - └─ Macro → Whole Economy

2. NATIONAL INCOME

Production
↓
GDP (Domestic)
↓ + NFIA
GNP (National)
↓ - Depreciation
NNP
↓ - Taxes + Subsidy
National Income (NNP at FC)
↓ ÷ Population
Per Capita Income
↓
Development

3. GDP TYPES

GDP
└─ Nominal GDP → Current Price
└─ Real GDP → Constant Price (Base Year)
└─ Base Year → 2011–12 (India)

4. INFLATION

Inflation = Price Rise

- └─ Types
 - └─ Demand-Pull
 - └─ Cost-Push
- └─ Measurement
 - └─ CPI (Consumer)
 - └─ WPI (Wholesale)
- └─ Effect

- └─ Purchasing Power ↓
- └─ Cost of Living ↑

5. MONETARY POLICY (RBI)

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- └─ Goal → Control Inflation + Growth
- └─ Tools
 - └─ Repo ↑ → Money ↓
 - └─ Reverse Repo ↑ → Liquidity ↓
 - └─ CRR ↑ → Lending ↓
 - └─ SLR ↑ → Lending ↓
- └─ MPC → Decides Repo Rate

6. BANKING + MONEY SUPPLY

Money Supply

- └─ M1 → Cash + Current Deposits
- └─ M2 → M1 + Savings
- └─ M3 → Broad Money (Important)
- └─ Banks
 - └─ Commercial Banks
 - └─ RBI (Central Bank)
- └─ NBFC
 - └─ Provide Loans
 - └─ Not full bank

7. FISCAL POLICY

Government

- └─ Budget
 - └─ Revenue
 - └─ Tax
 - └─ Non-Tax
 - └─ Expenditure
 - └─ Revenue Exp
 - └─ Capital Exp
- └─ Taxes

- └─ Direct (Income Tax)
- └─ Indirect (GST)
- └─ Deficit
 - └─ Fiscal Deficit
 - └─ Revenue Deficit
 - └─ Primary Deficit

8. EXTERNAL SECTOR

External Sector

- └─ BoP (Balance of Payments)
 - └─ Current Account
 - └─ Capital Account
- └─ Trade
 - └─ Export
 - └─ Import
- └─ Exchange Rate
 - └─ Depreciation
 - └─ Appreciation
- └─ Forex Reserves
 - └─ Managed by RBI

9. SECTORS OF ECONOMY

Economy Sectors

- └─ Primary → Agriculture
 - └─ MSP
 - └─ Green Revolution
- └─ Secondary → Industry
 - └─ Manufacturing
 - └─ MSME
- └─ Tertiary → Services
 - └─ IT
 - └─ Banking
 - └─ Tourism

10. POVERTY & UNEMPLOYMENT

Poverty

- |
- |— Absolute
- |— Relative

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Unemployment

- |
- |— Frictional
- |— Structural
- |— Seasonal
- |— Disguised (Important)

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Flow:

Unemployment → Poverty → Govt Schemes →
Development



11. GOVERNMENT SCHEMES

Schemes

- |
- |— :contentReference[oaicite:1]{index=1} → Bank

Accounts

- |— :contentReference[oaicite:2]{index=2} → Loans
- |— :contentReference[oaicite:3]{index=3} → Jobs
- |— :contentReference[oaicite:4]{index=4} → Food
- |
- |— DBT → Direct Money Transfer



12. BUDGET + ECONOMIC SURVEY

Economic Survey → Analysis

Budget → Policy + Allocation

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Focus:

- |— GDP
- |— Inflation
- |— Schemes
- |— Fiscal Deficit